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(b) Sales book or sales journal–for recording only credit sale of goods dealt in by the trader.

(c) Purchases returns or returns outward book – for recording return of goods purchased by the trader, for which no cash is immediately received.

(d) Sales returns or returns inward book – for recording the goods returned (out of previous sale) by customers for which no cash is immediately paid.

(e) Bills receivable book – to record bills drawn or promissory notes received.

(f) Bills payable book – to record bills accepted or promissory notes given.

(iii) Journal proper – The general journal or all purpose journal to record transactions which do not find a place in the above seven subsidiary books.

6.4 Advantages of subsidiary books

The advantages of maintaining subsidiary books can be summarised as under:

(i) Proper and systematic record of business transactions

All the business transactions are classified and grouped conveniently as cash and non cash transactions, which are further classified as credit purchases, credit sales, returns, etc. As separate books are used for each type of transactions, individual transactions are properly and systematically recorded in the subsidiary books.

(ii) Convenient posting

All the transactions of a particular nature are recorded at one place, i.e., in one of the subsidiary books. For example, all credit purchases of goods are recorded in the purchases book and all credit sales of goods are recorded in the sales book. It facilitates posting to purchases account, sales account and concerned personal accounts.

(iii) Division of work

As journal is sub-divided, the work will be sub-divided and different persons can work on different books at the same time and the work can be speedily completed.

(iv) Efficiency

The sub-division of work gives the advantage of specialisation. When the same work is done by a person repeatedly the person becomes efficient in handling it. Thus, specialisation leads to efficiency in accounting work.

(v) Helpful in decision making

Subsidiary books provide complete details about every type of transactions separately. Hence, the management can use the information as the basis for deciding its future actions. For example, information regarding sales returns from the sales returns book will enable the management to analyse the causes for sales returns and to adopt effective measures to remove deficiencies.